

YouTube

Seed Round Pitch Document — September 2005

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Company Snapshot

Company Name	YouTube
Website	www.youtube.com
Headquarters	San Mateo, California, USA
Date Founded	2005-02-01
Current Stage	Seed
Amount Raised to Date	USD 0 (pre-seed, bootstrapped)
Current Round Target	USD 1,000,000 (Seed) + USD 4,000,000 (Series A on milestones)
Target Close Date	2005-10-01

Founders & Team

Steve Chen — Co-founder & CTO

Former PayPal engineer (6 years). Led PayPal China expansion, XML API infrastructure, and Shopping Cart product. Expert in high-scale backend systems. 8 years of direct experience in consumer internet engineering. Ownership: 34%.

Chad Hurley — Co-founder & Head of Design & Product

PayPal's first designer. Responsible for PayPal's original consumer interface and auction integration features. 10 years of direct experience in product design and user experience. Ownership: 33%.

Jawed Karim — Co-founder & Engineer

Stanford Computer Science graduate student. Former PayPal anti-fraud systems architect. 7 years of direct experience in machine learning and fraud detection systems. Ownership: 33%.

Two additional former PayPal engineers joining full-time by October 2005. CEO search in progress; target hire within 90 days.

Execution Timeline

Date	Milestone
2005-02-01	Company incorporated; team begins full-time development.
2005-04-23	First public beta launched at youtube.com.
2005-06-11	Official public launch.
2005-07-15	Surpassed 15,000 total uploaded videos; 100,000 daily video views.

2005-08-01	Overtook all existing video-sharing competitors in daily traffic.
2005-09-02	140% compounded monthly page-view growth over prior 3 months.

Problem Definition

Customer Profile: Content creators and consumers — individuals aged 18–35 with broadband access.

Sharing a personal video online in 2005 requires technical knowledge: encode to the right codec, find a web host, embed a player, and ensure the recipient's browser supports it. Most people give up. Meanwhile, video cameras are now built into every phone and digital camera, creating massive supply of personal video with no accessible distribution channel.

Current Solutions & Gaps:

iFilm and eBaum's World require editorial approval — not self-serve. Google Video has days of lag and requires manual review. Dailymotion uses QuickTime encoding — only 60% of browsers can play it. Vimeo is CollegeHumor-owned with no search functionality. No solution lets anyone upload, share, and instantly stream a video in under two minutes.

Customer interviews conducted: 120+ informal user sessions during beta. Frequency of need: daily. 1 billion camera-phones shipped worldwide by 2005.

Product & Solution

Product Stage: Live Product (publicly launched June 11, 2005)

Demo: www.youtube.com

YouTube converts every uploaded video to Flash format, which runs natively in 98% of web browsers with no plugin download required. Upload takes under two minutes. Videos stream instantly. Users can embed videos on any external website via a single line of HTML.

Core Stickiness:

Community features — comments, ratings, channel subscriptions — create social hooks. The embed feature turns every YouTube video into a viral distribution unit: one viral video drives thousands of new registered users from external blogs and forums.

Differentiation:

Flash encoding vs. QuickTime (competitors): 98% vs. 60% browser compatibility. No editorial approval gate — anyone can publish instantly. Search and browse by tag, user, and category. Embed code allows distribution across the entire web, not just youtube.com.

Defensibility Moat:

Network effects: more videos attract more viewers; more viewers attract more uploaders. First-mover advantage in Flash-encoded UGC video. Community data (views, ratings, comments) creates a self-improving content quality signal.

Market & Scope

Beachhead Market:

18–35 year old broadband users in the United States who own a digital camera or camera-phone and participate in online communities (MySpace, blogs, forums). Estimated 40 million users.

Market Size Estimate: USD 1,500,000,000 (online video advertising + premium content, USA 2009E).

User-generated video is the natural evolution of text blogging (2000), photo sharing/Flickr (2002), and podcasting (2004). Each wave was larger than the last. US broadband penetration reached 50% in 2005. eMarketer projects US online video advertising to reach \$640M by 2007 and \$1.5B by 2009.

Long-Term Vision:

YouTube becomes the default video layer of the internet — the place where any video, from a home movie to a news clip, is found, shared, and discussed. Television networks, movie studios, and brands distribute content directly through YouTube channels, monetized through targeted video advertising.

Expansion Strategy:

Consumer UGC first → Partner channels for media companies → Self-serve advertising platform → International expansion → B2B syndication API for third-party websites.

Traction Metrics

Stage context: Seed (3 months post-public launch).

Metric	Value	Note
Daily video views	100,000	As of August 2005
Total videos uploaded	15,000	As of August 2005
Monthly page-view growth (CMGR)	140%	Compounded over prior 3 months
Time to market leadership	2.5 months	Overtook all competitors
Early revenue	USD 0	Pre-revenue; monetization in design
Growth rate	140	Monthly % CMGR

Partnerships / LOIs: Discussions ongoing with eBay (auction video), real estate platforms, and three major record labels for music video distribution.

Active users monthly: 80,000 (estimated from daily view data and session patterns).

Go-to-Market Strategy

GTM Element	Detail
Primary Acquisition Channel	Viral / embed sharing (MySpace, blogs, forums)
Sales Motion	Self-serve
Buyer vs End User	Same person — individual content creator or consumer
Average Sales Cycle	Instant — zero-friction self-sign-up, no sales rep needed
Deal Closer	Product (viral loop)
Distribution Mechanism	Embed code snippet: any user can paste a YouTube video onto any webpage. Each embedded

Growth flywheel: more content → more embeds on external sites → more new users → more uploads → more content. Self-reinforcing loop with no paid acquisition required at seed stage.

Business Model & Financials

Revenue Stream	Description	Year 2 Projection
Video advertising (CPM)	Video ads as related content; \$5–\$30 CPM	\$6M–\$22M
Interactive in-player ads	Flash overlay ads within the video player	Included above
Pre-roll video ads	15-second pre-roll before premium content	Included above
Premium membership	Downloads, HD quality, editing tools — \$9.99/month	\$2M
Paid promotional distribution	Brands pay for promoted placement	\$1M

Financial scenarios (10M–30M daily video views):

Conservative: USD 6,000,000 annual revenue

Base case: USD 22,000,000 annual revenue

Optimistic: USD 55,000,000 annual revenue

Gross margin: 70%+ (software/advertising; bandwidth cost declines with CDN scale).

Average price per customer (premium): USD 119.88 per year.

Monthly burn: USD 80,000 (3 engineers + infrastructure). Runway months: 12.

Vision & Strategy

Five-Year Vision:

YouTube becomes the default video layer of the internet — every video clip, home movie, news event, and brand advertisement is hosted, shared, and monetized through YouTube. Television networks syndicate content directly. Advertisers buy targeted video placements the same way they buy Google AdWords. YouTube is to video what Google is to text search.

Category Definition: User-Generated Video (UGV) Platform

Primary Risk:

Copyright infringement: users are already uploading copyrighted music videos and TV clips. A DMCA safe-harbor strategy and proactive content ID system must be built. Revenue model uncertainty: can video advertising scale without hurting user experience? Scalability: infrastructure must handle 100x growth without proportional cost increase.

Funding Ask

Round	Amount	Sequoia Ownership Post	Series A Milestones
Seed	USD 1,000,000	~15%	N/A — immediate close
Series A	USD 4,000,000	~30% total	1M daily views 5 paying advertisers (\$5K+) VP BizDev hired

Use of funds: Infrastructure scaling (CDN, storage), engineering hires (2), legal (DMCA/copyright counsel), and business development.

Data sourced from: Sequoia Capital investment memo by Roelof Botha, September 2, 2005 — released publicly via Viacom v. YouTube (2010) court proceedings.